TIDEWATER FUELS — EXCERPT FROM THE ANNUAL FINANCIAL DISCLOSURE

This document excerpts the annual financial disclosure of Tidewater Fuels, prepared at the request of the Office of the Attorney General of the State of Arden. Figures cover the most recent completed financial year and are expressed in millions of United States dollars.

1. Our business and how we are organised

Tidewater Fuels, a publicly traded company, is organised under the laws of Texas. Approximately 4,304 persons work for it across 17 states, and it reports through the segments set out below. Corporation Service Company acts as the company's registered agent in Arden.

2. Our segment revenue breakdown

Segment	Revenue ($M)	Share of total (%)	Fossil Fuel Products segment
Wholesale fuel distribution	11,448	62.2	yes
Terminals and logistics	4,452	24.2	yes
Convenience retail (non-fuel)	1,775	9.6	no
Fleet services	725	3.9	no
Total revenue	**18,400**	**100.0**	

Revenue from sales of Fossil Fuel Products — a term defined in the Climate Resilience Funding Act — is generated by the segments marked above and totalled $15,900M for the year, while revenue from all segments totalled $18,400M. In the preceding year the corresponding proportion was 84.9%.

3. Capital spending and depreciation charges

Spending on capital projects came to $855.1M, with 71.3% of that amount directed to maintaining existing assets. Depreciation, depletion and amortisation amounted to $627.2M, and an impairment of $132.9M was recorded in respect of two idled terminals.

4. Commodity price exposure and hedging

Approximately 22.9% of anticipated production or purchase volumes for the coming year was hedged. At year end, open derivative positions carried a notional value of $2,333.4M. Had benchmark prices moved adversely by a hypothetical ten per cent, pre-tax earnings would have been reduced by $108.0M.

5. Our people, safety record and environmental compliance

Recordable injuries occurred at a rate of 1.72 per two hundred thousand hours worked. Across all jurisdictions, the company received 2 notices of violation and paid civil penalties of $1.3M. Voluntary turnover stood at 7.4%.

6. Legal matters

The company is a party to 17 proceedings arising in the ordinary course of business; management does not consider any of them, individually or in the aggregate, likely to have a material adverse effect. Accruals in respect of loss contingencies stood at $6.1M.

7. Geographic distribution of revenue

Revenue is attributed to the jurisdiction in which title passes. The company's three largest states of operation generated 70.3% of revenue, and Arden accounted for 3.3% of revenue. No single customer represented more than 14.5% of revenue. Operating permits are held in 11 states, together with one federal offshore lease area.

Region	Revenue ($M)	Share of total (%)	Employees
Gulf and south central	6,012.5	31.1	1,424
Mid-Atlantic and north east	4,057.9	12.1	640
Midwest	3,064.7	10.7	786
West and mountain	1,231.7	12.8	295
All other, including Arden	962.4	11.9	232

These regional figures represent management's allocation and are rounded; they do not constitute a segment disclosure and do not sum to total revenue.

8. Commitments and off-balance-sheet arrangements

Take-or-pay and transportation contracts gave rise to purchase obligations of $1,510.7M, of which $496.8M falls due within one year. Commitments under operating leases were $546.5M. Surety bonds and letters of credit of $304.2M have been issued, principally in respect of decommissioning and of state fuel tax obligations. Other than those described, there are no off-balance-sheet financing arrangements.

9. Our income tax position

The effective rate came in at 21.0%, against a statutory federal rate of 21%. The principal reconciling items were state taxes net of federal benefit (4.7 points), depletion allowances (3.9 points adverse to the reconciliation) and the resolution of an examination covering the years 2016 to 2021. Unrecognised tax benefits stood at $26.3M. Examinations of the company are under way in 7 states; Arden is not among them.

10. Transactions with related parties

Sales to entities in which a director or officer holds an interest of ten per cent or more amounted to $18.9M, on terms management believes to be no less favourable than those available from unrelated parties. Office space is leased from a partnership in which two officers hold interests.

11. Accounting estimates we consider critical

Management regards as critical the estimates involved in recognising revenue on contracts with variable consideration, assessing asset retirement obligations (discount rate 3.8%, with settlement expected over 34 years), evaluating the recoverability of long-lived assets, and valuing open derivative positions where quoted prices are not available. Were the discount rate applied to retirement obligations to move by ten per cent, the recorded liability would change by $10.7M.

12. Selected financial data for five years

	Year 1	Year 2	Year 3	Year 4	Year 5 (current)
Total revenue ($M)	16,192.3	17,291.7	16,997.3	17,381.6	18,400
Revenue from Fossil Fuel Products ($M)	13,736.4	13,384.7	14,565.3	14,761.2	15,900
Capital expenditure ($M)	856.3	762.3	822.8	961.0	855.1
Employees (000)	4.2	4.4	4.2	4.4	4.4

Figures for prior years are presented as previously reported and have not been restated. The proportion of revenue derived from Fossil Fuel Products may be computed from the two revenue lines; the proportion for the current year appears in section 2 above.

13. Events occurring after year end

On 3 July the company settled an environmental proceeding, without admission, for consideration of $30.4M. Management has evaluated events through the date of this disclosure and is not aware of any other matter requiring adjustment or disclosure.

14. Distributions and distribution policy

Holders received distributions of $363.4M, representing 11.3% of distributable cash flow. No fixed distribution policy has been adopted by the board.

Prepared solely for the purposes of the constitutional review. Not filed with any securities regulator and not audited as presented.